

CHAPTER SEVEN

Response

Barack Obama once remarked that, as president, he didn't get to make any easy decisions: "If it was an easily solvable problem, or even a modestly difficult but solvable problem, it would not reach me, because, by definition, somebody else would have solved it."¹ The executive branch is a broad, multifaceted system employing over four million skilled professionals, each of whom are faced with countless decisions on a daily basis. Few of these reach the Oval Office.

The subnational management of and response to broad social problems operate similarly, in that by the time regions grapple with them—really grapple with them—the decisions to make are often intractably difficult. If they weren't, they'd have been made by now. In the case of a dangerous roadway intersection, concerned residents might write a letter to a councilmember, the elected official might alert the appropriate department, and after studying the intersection in question, agency staff might install a stoplight—solving the problem via the governmental infrastructure established to respond to exactly such problems. But

many problems are bigger than stoplights. Underfunded agencies can lack sufficient resources, some problems require coordinated action across multiple agencies (at multiple levels of government), and others can suffer from lack of consensus about whether a given issue merits a governmental response in the first place.

Homelessness persists due to all three of these challenges. It is costly, its response requires participation and engagement from a variety of federal and local agencies, and public opinion buoys a robust debate about whether the government ought to respond to what's often perceived as an individual problem. While many talented and committed professionals have devoted their lives to preventing, mitigating, and ending homelessness, a half million people are still without housing on any given night in the country (a number that understates the true scale of the problem). This fact is not for want of talent or energy responding to the crisis at hand: Rather, the structural impediments outlined in this book have prevented enduring progress toward housing for all.

In this final chapter, we offer a prescription. Unlike other scholarship that describes the various tools that can be used to prevent and end homelessness, we take a broader view. Certainly, the research that analyzes the outcomes of a range of different interventions is important and worthy of your attention—but there are publications that provide greater detail on those topics than we do here.² Rather, we highlight issues we argue are higher-order concerns: public perception, funding, and placing the problem within a broader societal context. We also write for a broad audience, including policymakers tasked with preventing and ending homelessness, concerned residents who don't understand why so many people remain unhoused, and funders wondering how to make impactful investments.

Those who work on this issue know that long-run prevention of homelessness rests in greater access to housing—more affordable units and income supplements to bridge the affordability gap. The near-term is more complicated.

Given the inadequate resources dedicated to ending homelessness, the short-run is characterized by policymakers and practitioners being faced with a stream of difficult resource-allocation decisions. *Do we increase shelter capacity? Do we invest in diversion? Do we emphasize rapid rehousing or permanent supportive housing?* Scarcity forces these decisions upon us. These questions are critically important, and their answers are deeply consequential to the people seeking shelter and housing decisions through the homelessness crisis response system. But if a given housing program is found to be the most effective and efficient response to homelessness, and only 5 percent of the people in a municipal response system can access the program due to housing and resource constraints, its overall utility drastically falls. An unfortunate by-product of this reality is the questioned efficacy of many contemporary homelessness responses. We take issue with this conclusion—that our response system has failed—because ample evidence suggests that many of these housing programs do work for some people. In reality, the approaches that work have not been sufficiently scaled to the magnitude of the crisis. That is the failure. Until we solve the fundamental problems of political will, resource commitment, and a lack of understanding of the issue as structural in nature, homelessness will persist.

THREE TENSIONS

In addition to the general impediments shared across many walks of policymaking outlined above, policy challenges unique

to homelessness deserve further attention. In particular, within the community of people working to end homelessness, we note three core tensions that arise in the design of the most appropriate policy response: namely, short- versus long-term solutions, public versus private efforts, and in the case of the former, federal versus local responsibilities. We address these tensions in order to provide context for a policy vision presented later in this chapter.

Short- versus Long-Term Solutions

Most broadly, we might consider policy responses to homelessness to vary along temporal lines. While emergency shelters respond to the crisis at hand, permanent housing (whether public, private, subsidized, or unsubsidized) offers, by definition, a long-term end to a household's emergency. But it takes time to build housing. And given the severity of the public-health risks of experiencing homelessness—not least in cold climates—municipal shelter investments undoubtedly save lives.

Indeed, given the robust emergency shelter systems that have been constructed on the East Coast, the question of where the marginal dollar should be invested is easier: Resources should be used to expand the supply of permanent housing solutions. On the West Coast (and certain locations in Texas and Florida), where unsheltered homelessness is more conspicuous, community leaders must wrestle with the decision of whether to create greater shelter capacity in an effort to get people off the street or to invest in long-run housing solutions. Investments in permanent housing will, by definition, allow the current crisis of unsheltered homelessness to persist while developers undertake the relatively slow process of constructing permanent housing.

Further complicating efforts to resolve this tension is bureaucratic fragmentation. It is unlikely that a single municipal department is tasked with allocating the marginal dollar to, say, shelters versus affordable housing construction. In reality, human services departments tend to oversee shelter systems and homelessness services, public health departments and behavioral health providers mitigate the physical risks related to unsheltered homelessness, and planning departments and housing offices tend to address the regional housing supply. Differentially allocating money to various aspects of the response is complicated by this structure.

But as is the case in many of the tensions that we present, there's somewhat of a false dichotomy at work here. Ultimately, regions need both reactive and proactive policies and programs to respond to the housing crises they're facing—and those they may face in the future. Without a diverse portfolio of temporary and permanent housing opportunities, regions necessarily fail to respond to the needs of some of their constituents. Politically, as well—and homelessness is undeniably political—it is often expedient to invest in temporary solutions for the purpose of demonstrating quick, tangible (ostensible) progress and garnering the public trust necessary for long-term investment. (As we noted earlier, one role of emergency shelters is to hide people experiencing homelessness from people with housing.) The pressure to demonstrate progress is particularly acute on the West Coast, where many residents—voters—are growing increasingly frustrated with the state of unsheltered homelessness.

All told, while we acknowledge the critical importance of investing in emergency response systems to meet the needs of people sleeping outside, generally we advocate for policy and budgeting decisions that privilege the development of

permanent housing solutions. Both approaches have merit, but only the latter will mitigate future stress on the former.

Public versus Private

In the United States, the private market serves as an allocation mechanism for most of the goods and services Americans consume or use; housing included. There are a few notable exceptions—public education, public health care (Medicare and Medicaid), and public safety among them—but, in general, most households rely on the private market to provide for both necessary and elective consumption. Housing—and the fact that millions of U.S. households lack affordable housing—highlights one of the shortcomings of an economic system that almost exclusively relies on market allocation. Economist Charles Lindblom wrote extensively about the relationship between markets and society, and his words are as relevant today as they were a half century ago: “A market is like a tool: designed to do certain jobs but unsuited for others. Not wholly familiar with what it can do, people often leave it lying in the drawer when they could use it. But then they also use it when they should not, like an amateur craftsman who carelessly uses his chisel as a screwdriver.”³

Lindblom’s point is far from normative. He’s not arguing that markets are good or bad. Rather, he makes the case that markets work well for some activities and not others; and that it is vitally important to recognize when each is the case. Here, we argue that relying (solely) on the private market to solve our affordable housing crisis is like relying on Lindblom’s chisel to screw hinges to a door. Certainly, we hope that private developers will continue to build great amounts of market-rate housing, because these units can help to reduce overall pressure on the market.

With the help of subsidies and tax credits, some of these developers may also contribute to the stock of housing that is affordable to more people. But when it comes to supplying housing for people with little to no income, the tool of the private market is not well-suited to the task.

Consistent with this logic, there is a growing recognition that the private sector alone cannot solve the affordable housing crisis that plagues many communities in the United States. Observers on both ends of the political spectrum have arrived at a similar conclusion, albeit by different paths. On one side, critics argue that a host of regulatory constraints (building codes, environmental regulations, lengthy permitting processes, zoning restrictions, parking minimums, and highly paid union labor) have made the construction of housing too expensive. Eliminating these constraints would allow the private market to produce a greater supply of housing that is more affordable to more people. The other side of the debate suggests that relying on for-profit developers to supply housing to those with little to no ability to pay is like trying to jam a square peg into a round hole. That's what the public sector is *supposed* to do, anyway. One of the roles of the government is to provide a basic safety net for households that includes access to core needs like food, health care, and shelter—so the argument goes.

There's some truth to both of these critiques. Housing *is* too expensive to construct. Unlike most other industries in the United States, it appears to be immune to technological advancements. Virtually every other product built or assembled today—cars, televisions, computers, spacecraft—is done so more quickly and more cheaply than it was fifty years ago. In many cases, costs have fallen while functionality has increased exponentially. A glaring example is in the processing power of computers; a modern

iPhone has one hundred thousand times the processing power of the computer that NASA used to send people to the moon in 1969.⁴ Yet despite perennial promises of low-cost, modular units and advances in materials and construction technology, we still build houses largely the same way we did when Neil Armstrong first stepped onto the lunar surface. Continued efforts to improve construction efficiency are critically important. This lack of technological and operational advancement makes the debate about public versus private provision of housing even more difficult.

Here, we argue developers are right, at least insofar as we agree that their profit incentives tend not to be aligned with the goals of affordable housing supply responses. Under capitalism, we don't expect corporations to self-organize in a benevolent manner to produce thousands of new rental units for people on fixed incomes in every major city in the country—not if such development isn't profitable. Left unchecked, market conditions are likely to continue to evolve such that developers will fail to supply sufficient levels of affordable housing for the population that needs it. These facts imply a need for a strong public action. And any public intervention will necessitate a dual thrust. First, the precariously housed need support, either in the form of cash assistance or rental subsidies. Second, the low end of the market in particular requires a robust supply response. Either approach alone is likely insufficient. Rental assistance is essential, but subsidies and time-limited vouchers don't work if the units aren't there.

Critically, we argue for a paradigm shift in how we think about housing. Rather than conceptualizing housing as solely a private good—one procured through market transactions—housing must be de-commodified. Shelter is fundamental to human survival and demands a different treatment than iPhones. A path toward a sustainable housing system requires a decoupling

of a portion of the housing stock from the market, especially for households with the lowest incomes. In practice, this decoupling can be facilitated through public and nonprofit ownership of a portion of the multifamily housing stock. This approach doesn't preclude a role for the private sector; it notes that a reliance on private development alone won't address the dual crises of affordable housing and homelessness.

Local versus Federal

If we accept the premise that the public sector has a major role to play in homelessness and housing system improvement, a third tension arises regarding the relative responsibilities of national and subnational (i.e., state, regional, county, and city) governments. Complicating this debate is the fact that needs are not evenly distributed geographically, whether within a nation, state, or county. Accordingly, a common refrain is why states with low levels of per capita homelessness should subsidize homelessness-response programs in other states. The same argument often plays out locally, with suburban and rural regions often unwilling to commit revenue toward an issue that is most visible in the urban core.

We are unconvinced that the spatial distribution of homelessness should prevent or limit the response at any level of government. Aid is often unevenly distributed—consider agricultural subsidies and natural disaster relief—and, indeed, works best when it flows to areas of the greatest need. We argue the various organizational tiers of government each have distinct roles to play in an appropriate homelessness response. The federal government, for example, has financial resources that far exceed those of state and local governments due to federal taxation

and the ability to raise large sums of money through debt issuance by the U.S. Treasury. This scale can facilitate substantial investments in housing—in the form of direct housing development, production subsidies, and tax credits—that far exceed the capacity of state and local jurisdictions. Expansions of existing federal programs (including housing vouchers) to cover all eligible households would provide substantial support to low-income households.

At the state and local level, governments can leverage a range of tools to promote housing for all. The strategies are neither new nor novel. State and local subsidies targeted to the households with the greatest needs have proven to be effective at limiting homelessness. At the beginning of the first New York City mayoral terms for both Michael Bloomberg and Bill de Blasio, the *New York Times* editorial page urged both mayors-elect to fund housing rental subsidies for households facing homelessness. The editorials called for city as well as state resources to fund the effort.⁵ Beyond such subsidies, financial investments in affordable housing and permanent supportive housing would make a significant difference. Local governments can also bolster their emergency shelter systems where appropriate. Importantly, states, counties, and cities can also deploy a range of regulatory tools targeting tenant protections and ease of construction (including eviction protections, rent stabilization, zoning changes, and the streamlining of various permitting and review processes). In other words, a carefully calibrated policy strategy—implemented across all levels of government—is key to ensuring policy tactics align with revenue generation and the politics necessary to see the work through. We take a deeper dive into this strategy in the sections that follow.

In particular, we seek to provide a roadmap for addressing *and* preventing the crisis at hand. Homelessness is by no means inevitable. (The country's success in radically reducing veteran homelessness offers one illustration of this fact.) Our prescription, informed by conversations with experts and our own research, requires three, interrelated steps: (1) changing public perceptions of homelessness, (2) raising adequate resources to fund needed programming and investments, and (3) applying a systems approach to our understanding of the issue. These steps are not to be taken sequentially: All must operate in unison. Building a credible response to homelessness on one or two legs of this stool alone is impossible.

CHANGING PERCEPTION OF THE PROBLEM

In 2006, two psychologists published a study of brain responses to human images. The authors sought to build a stronger understanding of prejudice, and in doing so, showed study participants pictures of people and objects that differed along a variety of characteristics—from college students to heroin users to Olympians and people experiencing homelessness.⁶ Given prior models of stereotyping behavior, the researchers predicted that study participants' brain activity—as measured by cerebral blood flow—would be notably different when viewing pictures of members of extreme social out-groups, including presumptive addicts and people experiencing homelessness. In particular, the researchers expected members of these out-groups to be “dehumanized,” whereby humanization of others corresponded to brain activity consistent with social cognition. Indeed, this pattern of neural activation was present when viewing images of people from every social category *except*

extreme-out groups, suggesting that “extreme out-groups may be perceived as less than human.” Brain activity when viewing the latter images was also consistent with neural fingerprints of disgust.

The point here is that even social neuroscience documents the dehumanization of people experiencing homelessness—and when we don’t see one another as human, we don’t ascribe dignity to one another. This severe form of othering necessarily hampers policy efforts because it erects a psychological wall between the allegedly deserving and the allegedly undeserving. Throughout U.S. history, policymakers (and their constituents) have drawn a bright line in social policy between those who deserve support and assistance and those who don’t. Won’t “bailing out” the latter only further incentivize bad behavior? Debates about social welfare frequently hinge on this question. Even Franklin D. Roosevelt, architect of the New Deal, struggled with providing aid to those who needed it. In his 1935 State of the Union address, Roosevelt articulated his concerns with state welfare—even in the midst of the nation’s most dire economic depression:

A large proportion of these unemployed and their dependents have been forced on the relief rolls. The burden of the Federal Government has grown with great rapidity. We have here a human as well as an economic problem. When humane considerations are concerned, Americans give them precedence. The lessons of history, confirmed by the evidence immediately before me, show conclusively that continued dependence upon relief induces a spiritual disintegration fundamentally destructive to the national fiber. To dole our relief in this way is to administer a narcotic, a subtle destroyer of the human spirit. It is inimical to the dictates of a sound policy. It is in violation of the traditions of America. Work must be found for able-bodied but destitute workers.⁷

When combined with the psychological evidence presented above, this deep-seated U.S. suspicion of public assistance further complicates efforts to prevent and end homelessness in the country. These challenges are nontrivial. But they also suggest a path forward, in that they imply that a successful psychological and social response will do two things: First, a successful response will embrace homelessness as structural in nature, as opposed to a product of bad decisions or social deviancy; and second, it will see the people unhoused by this structure as fully human. We mean the word *successful* here instrumentally. Public perception shapes politics. Homelessness isn't a winning issue for local politicians—indeed, more frequently it functions as a political lightning rod that makes coordinated public responses to the problem more challenging. Even if the money were available, the political will might not exist.

Recent scholarship on the public perceptions of homelessness offers a reason for optimism in this fight. Compared to surveys conducted in 1990, public opinion in 2016 suggested greater levels of compassion and liberal attitudes than existed a quarter-century earlier.⁸ A follow-up study analyzed the underlying causes of homelessness: structural causes (lack of affordable housing, lack of government supports, and the economic system), intrinsic causes (laziness and irresponsible behavior), and health causes (mental illness, substance abuse, and physical illness).⁹ The most prevalent responses regarding causes were mental illness, substance use, and lack of affordable housing. But respondents differed meaningfully on their causal assessments based on age, gender, income, education, and political affiliation. The encouraging news from the standpoint of this book is that there is meaningful understanding that affordable housing plays a significant role in the homelessness crisis, but attributing

homelessness to structural causes is strongly associated with affiliation with the Democratic party. In addition, believing that structural causes explain homelessness is inversely related to income. Therefore, higher income people are far less likely to believe that a lack of housing is the root of homelessness. While this research provides reasons for optimism about the public's understanding of the problem and willingness to make investments to address it, there is a significant segment of the population that continues to blame individuals and their underlying health conditions.

Currently, federal dollars earmarked for a homelessness response largely flow out of the Department of Housing and Urban Development, but the local recipients of these dollars are most frequently the local governmental agencies responsible for behavioral health care, senior services, and—to the extent they're concerned with housing at all—emergency responses to homelessness, like shelter. Locally speaking, homelessness dollars are human services dollars, because homelessness is, by implication, a human problem. The bureaucratic machinery mirrors popular belief. But if homelessness is indeed a housing problem, as we argue here, this organizational paradigm would suggest a policy lens entirely out of focus. It would also further suggest that shifting public attitudes on and understandings of homelessness are fundamental to the housing solutions we're after. To move from a place of iterative improvement to true systems change, we argue the country requires a reorientation in the manner it conceptualizes (and accordingly approaches) the problem in the first place. If homelessness continues to be seen exclusively as a personal problem—and not one of structure—policy prescriptions will remain reactive in nature. If we want to do more than treat the symptom, we must come to understand the necessity of a coordinated housing response.

The required social change isn't limited to public perceptions of homelessness. It also implies a reframing of housing. We need homeowners who are willing to advocate and vote for increased housing density; people who are willing to live with less space; a move away from the penchant for single-family homes—particularly in our nation's cities. And yet, at the same time, there's a danger in exclusively advocating for people to jettison the default American dream of white-picket-fence home ownership—not least because homes are still the largest assets people own. Homeownership can be a tool to close the racial wealth gap; homeownership must remain on the table. What, then, does it mean to align personal politics with a coordinated housing response? When cities seek to alter residential zoning in order to create more housing density, residents can support these efforts. Concerned residents in Minnesota, for example, recently formed the group *Neighbors for More Neighbors* to advocate for an end to exclusionary practices like single-family zoning. “Lots of people want to live here,” said Janne Flisrand, one of the founders of the group. “It’s a great city to live in. And we have used our city policies to keep people out.”¹⁰ The work of *Neighbors for More Neighbors* as well as other YIMBY (“Yes In My Back Yard”) movements have been critical in efforts to increase multifamily zoning in cities around the nation. Rather than leaving advocacy to those who are struggling with the current regulatory framework, beneficiaries of the status quo can stand up for affordability and accessibility.

SUFFICIENT RESOURCES

Just like housing, homelessness is expensive. Costs rise as people who lose their housing and remain unhoused stress a range of

municipal systems, including public safety, criminal justice, public health, and emergency medicine. Estimates suggest the public costs associated with homelessness range from \$30,000 to \$100,000 per person per year.¹¹ New York City, for example, spends roughly \$3 billion per year on homelessness and has a one-night count of 78,000, which corresponds to about \$40,000 per person.¹² Other studies have noted the cost savings of permanent supportive housing: A recent study out of Australia, for example, found that supportive housing lowered the annual use of government services by people experiencing homelessness from \$48,000 to \$35,117 annually (including the cost of the supportive housing in question).¹³ Approaches like Housing First—in which shelter resources precede any treatment services or other programmatic supports—have produced significant cost reductions when compared to traditional homelessness services.¹⁴ But rather than a merely reactive system that responds to the crisis at hand, we seek a proactive approach that prevents homelessness in the first place and ensures people can retain their housing when they regain it. Adequate and affordable housing is at the core of this better system—implying the need for substantial resources to fund the capital investments needed to construct and develop it.

While the costs of homelessness are high on an individualized basis, federal spending is relatively modest. In fiscal year 2019, direct federal spending on homelessness via HUD, Health and Human Services, the Veteran's Administration, and other ancillary agencies totaled about \$6.5 billion. When including funding for rental assistance and other housing support for low-income households (i.e., tenant-based and project-based vouchers and Community Development Block Grants), the total rises to just over \$44 billion. Finally, adding in other federal housing

assistance (including public housing and HOME—a program that provides funds to local jurisdictions for rental subsidies, housing rehabilitation, and new construction), the amount reaches roughly \$55 billion. By way of comparison, the discretionary portion of the federal budget in 2019 was \$1.3 trillion, so these expenditures represent roughly 4.2 percent of all discretionary spending. On top of this spending, the federal government also issued about \$9.5 billion in Low-Income Housing Tax Credits to promote the development of affordable housing. Summing it all, the federal government commits about \$65 billion in support of low-income housing needs in the country each year. Compare this sum to lost tax receipts from the home mortgage interest tax deduction, which allows homeowners to deduct mortgage interest from their federal income taxes. Prior to the 2017 tax reform package, the mortgage interest tax deduction cost the federal government nearly \$70 billion in lost revenue. Under the new tax law, that number has fallen to about \$30 billion, as fewer households now benefit from this deduction. Even after this major change, the federal government commits a sum equal to 50 percent of all federal funding on low-income housing support to a single program that exclusively benefits high-income homeowners. (The government does, however, provide support to low-income households through a range of other social safety-net programs, including cash assistance, medical coverage, and food support, and any expansion or extension of these programs would, by definition, bolster the financial position of households at risk of experiencing homelessness.)

Calculating spending at the state and local level for housing and homelessness is more complicated. Because federal funds flow to states and cities, the expenditures announced by

these jurisdictions also include the funds provided by the federal government. City budgets, too, include funds appropriated from their own states. This complex web of funding sources certainly complicates the analysis. This confusion prompted one California legislator, David Chui—a Democrat from San Francisco—to introduce a proposal requiring the state to account for every dollar spent on homelessness within the state.¹⁵ But there are clear examples in which state (as opposed to federal) funds are committed directly to housing and homelessness. In 2018, voters in California approved Propositions 1 and 2, which authorized \$4 billion in bonding capacity for affordable housing and \$2 billion in borrowed funds to construct supportive housing for people with serious mental illness, respectively.

Local jurisdictions, too, invest directly. In 2016, Los Angeles voters approved a referendum to spend \$1.2 billion over ten years to construct housing for the homeless. In particular, the dollars were earmarked for the construction of 1,000 new units of housing, each year, for a total of 10,000 units over the decade. But by the end of 2019, only 1 percent of those units were ready to be occupied, prompting frustration and criticism.¹⁶ According to City Controller Ron Galperin, “the ten year plan . . . hasn’t lived up to its promise because of the high price of construction, stalled approvals and regulatory barriers.”¹⁷ In 2016, the expected costs for these units ranged from \$350,000 to \$414,000. In reality, median costs have clocked in at \$531,000, and only 7,640 units are expected to be constructed. The adjustments imply a contribution from this source of funding at \$157,000 per unit (or about 25 percent of the total cost). Presumably the city is using debt funding (mortgages) to fund the remaining portion of the construction costs. And even in the best of circumstances, 10,000 units over ten years in a city with a homeless population that

exceeds fifty thousand people on any given night seems inadequate. But what is the right number?

It's difficult to point to a single number required to end homelessness. When the global management consulting firm McKinsey & Company strove to quantify the resources needed to end homelessness in Seattle/King County, they estimated the total housing supply that would be needed to accommodate the extremely low-income (ELI) households—those earning less than 30 percent of area median income (AMI)—that currently lack affordable housing. The McKinsey report called for a total of thirty-seven thousand new housing units, which didn't address the needs of other low-income households earning between 30 and 50 percent of AMI. Despite the narrow focus of the analysis, the cost is still substantial: "Using a conservative set of assumptions, ending homelessness in King County would therefore cost between \$4.5 billion and \$11 billion over ten years, or between \$450 million and \$1.1 billion each year for the next ten years. To put it another way, ending homelessness in King County would require spending two to four times the approximately \$260 million currently spent on homelessness and ELI housing in the region."¹⁸

It is important to note that the McKinsey estimate is the total sum needed to develop thirty-seven thousand housing units. It assumes the development is entirely equity financed, so upon completion, the county—or whatever entity funded the construction—would own the units free and clear without any mortgage. Obviously, public sources of funds could be leveraged with property mortgages to limit the level of public financing required. But if McKinsey is right, and thirty-seven thousand units are needed to end homelessness in King County, the recent proposal in Los Angeles—to construct ten thousand units over

ten years—appears woefully inadequate indeed. McKinsey estimated up to \$11 billion over ten years would be required to fill the gap, while the Los Angeles proposal provided \$1.2 billion—in a county with four times the homeless population of King County. If we broadly apply the McKinsey math and methodology (a gross generalization to be sure) to Los Angeles, the jurisdiction would need \$20–\$45 billion. These figures highlight the scale of the issue and the resources that are needed to address it. If regions with substantial populations experiencing homelessness continue to nibble around the edges of the problem (if we can call \$1.2 billion over ten years nibbling), there is little hope for a sustainable solution.

Because much of current local spending in a region like King County is devoted to the crisis response, a relatively small amount is dedicated to housing development and rental assistance for extremely low-income households. The funds needed to construct this housing are well above current spending levels. And while McKinsey's price tag is daunting, the region has made large investments in the past. In 2016, voters in the Puget Sound region approved a \$54 billion, twenty-five-year plan to extend public transit throughout the region, including via light rail and bus rapid transit. One could easily argue that housing is just as critical of an infrastructure investment as public transit: essential for a growing region. Of course, this argument requires community members to conceptualize housing—particularly housing for low-income households—as a public good rather than a private commodity.

The U.S. Census Bureau conducts an annual survey of state and local finances. This survey provides detail on dollars that flow to states from the federal government, as well as the total funds generated within the state. The results tell an interesting

story about revenue generation. In California—the largest state budget in the nation—just over 17 percent of all revenue at the state and local levels comes from the federal government. Of the general revenue raised statewide, about 56 percent comes from state-level (as opposed to local) sources. Total general revenue per capita (from both state and local sources) is about \$9,800. The state of Washington, on the other hand, generates about \$1,000 less in general revenue per capita, and only 14.6 percent of its total revenue comes from federal sources. Massachusetts relies heavily on state revenue: Over 64 percent of all general revenue in the state is raised at the state level, but per capita general revenue is comparable to Washington and California (at roughly \$9,300). These states differ meaningfully from a lower-tax jurisdiction like Texas. Texas generates \$6,611 per person in general revenue, which is split relatively evenly between state and local sources. Federal sources account for 16.5 percent of total revenue in Texas.

While an additional \$1 billion per year to end homelessness in the Puget Sound region may sound daunting, it need not be. Let's consider this amount from both a national and local perspective. To fund an additional \$1 billion in Washington annually, total revenue generation per capita from state and local sources would need to rise to \$9,026 per person—a 1.5 percent increase from its current level—still far below the per capita figures raised in both California and Massachusetts. At the scale of the federal government, the number is also relatively small. To turn to a previous example, eliminating the mortgage interest deduction for homeowners would free up \$30 billion, which, if dedicated to homelessness and housing initiatives, would represent roughly a 60 percent increase in federal funding for low-income households. Washington's per capita share

of that increase would produce \$660 million of additional funding each year—two-thirds of the total amount required even in McKinsey's most costly estimate.

At the federal level, greater appropriations to HUD could also support an expansion of the voucher program or further investments in affordable housing development. With interest rates at historic lows, the U.S. Treasury could provide extremely low-interest loans to local housing authorities to support the acquisition or construction of affordable housing. No agency can borrow as cheaply as the U.S. government. The federal government could also raise the value of the tax credits it issues to help fund the development of affordable housing. The Low-Income Housing Tax Credit program has funded the construction or rehabilitation of over three million housing units since its inception in the 1980s. Despite the program's complexity and frequent inefficiencies, it remains the primary tool used to fund affordable housing in the United States, and it ought to be improved.

Notwithstanding the various federal options to increase funding for housing services, there still remains the fact that the need for resources is not evenly distributed throughout the country. As described to us by researcher Jill Khadduri, one option for marrying federal resources to the regional housing needs would be to implement an add-on to the LIHTC program in which states or local jurisdictions could get additional tax credits if they provide a local match. Under such a program, only those localities with a need and desire for additional affordable housing production would participate in the program, and they would need to invest their own resources in order to get additional federal support. It's a creative proposal that could generate additional federal support for housing with improved targeting.

State governments rely on income, property, and sales taxes to fund operations, but the mix in each state varies considerably. A report from the Institute on Taxation and Economic Policy (ITEP) found that the vast majority of states have regressive tax policies: Low-income households pay a higher percentage of their income in taxes than high earners. Washington State has the most regressive tax regime, followed closely by Texas and Florida. A hallmark of regressive tax systems is the reliance on sales and excise taxes with limited or no state income tax. In the ITEP report, researchers found that implied tax rates from sales and excise taxes are 7.1 percent for the bottom one-fifth of the income distribution, 4.8 percent for the middle 20 percent of earners, and only 0.9 percent for the top 1 percent.¹⁹ The top 1 percent of earners in Washington pay a 3 percent tax rate as a share of household income (including all state and local taxes), while the poorest 20 percent face a 17.8 percent rate. The lack of a state income tax is a major culprit for the regressive nature of taxation in Washington. It shouldn't be a surprise that two of the wealthiest people in the country—Bill Gates (Microsoft) and Jeff Bezos (Amazon)—call Washington home. Correcting these regressive tax regimes would provide an opportunity for increased, and more equitable, revenue generation for many states. This is easier said than done.

At the local level, similar challenges exist when trying to generate additional funding for social services. In 2018, the Seattle City Council proposed a “head tax” designed to raise \$275 per employee from local businesses that earned at least \$20 million the prior year. Amazon—though part of the initial negotiations—publicly announced its opposition to the tax and threatened to halt construction in Seattle in response. This threat warped the narrative, and business interests quickly rallied around the “No

Tax on Jobs” movement formed to oppose the tax. The council ultimately abandoned the proposal. An article in *The Atlantic* highlighted the fractured politics at play: “They [city council members] say big companies like Amazon have held the city hostage by refusing to engage in a discussion about new revenue streams to fund affordable housing, and that though they might have quashed this effort, they have put forward no solutions for the city’s problems. Business leaders, meanwhile, say they’re fed up with a constant stream of taxes that have done little to solve Seattle’s growing homelessness crisis.”²⁰

The head tax debacle was frustrating on all sides. Corporations were upset at being targeted; the city felt their hands were tied in terms of being able to raise additional revenue. Economist Jared Bernstein summarized the challenges in a *Washington Post* editorial citing tax analysts Steve Rosenthal and Richard Auxier: “How are fiscally constrained cities supposed to find revenue as their populations and services grow?”²¹ Bernstein argues that given: (a) the state of Washington’s prohibition on taxing income or wealth, (b) Amazon’s nonexistent federal tax bill, (c) the fact that the head tax would have cost Amazon \$10 million per year—in the face of first-quarter 2018 net income of \$1.6 billion, and (d) growing needs in Seattle related to housing affordability and homelessness—pursuing additional revenue at the local level is wise:

Do these facts provide a rationale for asking large businesses to help pay for a serious social problem like homelessness? These companies are better known for putting out their hands for tax breaks in exchange for the added economic activity they bring to places where they locate. But while such activity is welcomed by many, it also creates greater demand for public services, for schools, police, infrastructure, maintenance, etc. It also raises housing prices in these

areas. So yes, I think there's a solid rationale for asking them to offset some of the social costs to which they contribute.

The head tax may have been improperly designed, whether from a taxation or perception perspective (or both). But denying local jurisdictions the right to raise revenue also appears short-sighted. Incomes and wealth are staggering in the Puget Sound and Bay Area regions: The inability to fund social programs doesn't stem from a lack of funds—it stems from a lack of will.

SYSTEMS APPROACH

Harvard Business School is a forerunner in the use of the case-study method in management education. Cases help students learn key concepts of finance, marketing, strategy, and operations. One of the most famous of these cases is the National Cranberry Cooperative case—more commonly, just the “Cranberry Case”—which “describes the continuous flow process used to process cranberries into juice and/or sauce.” Students must “analyze process flows to determine where the bottlenecks are and to decide how, and whether, to expand capacity.”²² Long story short: The cranberry operation needed greater drying capacity so the delivery trucks would not need to wait around for the plant to finish processing the wet berries. For thousands of students over the last three decades, the Cranberry Case has highlighted the importance of systems and how they work: how a single bottleneck can disrupt an otherwise successful operation. Ultimately, the case teaches that disappointing operational outcomes might be attributable to factors upstream in a system.

Aside from its real, often traumatic manifestation as human experience, homelessness is a system, too. Or at least its socioeconomic and bureaucratic contexts form one. People flow into snaking lines of waitlists. They wait for supportive housing openings or vouchers for months, all while looking for their own housing on the private market and watching other people, deemed of “higher priority,” get fast-tracked into units that somehow materialize. Rental markets ebb and flow; the homelessness and housing systems bump up against others: education, incarceration, health care. And as was the case with the flow of cranberries through the plant, plenty of changes could improve—maybe even eliminate—the problems with the system. By definition, waitlists for housing programs would be shorter if fewer people lost their housing in the first place. And in cases in which people do lose their housing and subsequently seek assistance through a city or county’s homelessness crisis-response system, their experience with that system would be greatly improved if more housing options (subsidized or unsubsidized) were ready to receive them. The operationalization and management of homelessness is a function of bureaucracy and systems thinking. These systems warrant improvement. Many warrant reimagination writ large.

The homelessness system is somewhat circular, as it begins *and* ends with housing. When we think about some abstract notion of *system improvement*, then, this thinking must also begin and end with housing. Much of this book has sought to illustrate the fundamental ability of housing markets to shape cities’ relationships with homelessness. Accordingly, we’re active in our prescription. Improving the flow through crisis-response programs and reforming their gatekeeping roles are necessary moves toward an efficient system, but these iterative improvements pale in comparison to the additive value of the housing

supply response (as well as income supplements and rental subsidies) required to ensure people have secure, private, and warm places to sleep at night. An *efficient* crisis-response system isn't necessarily an *equitable* system—much less one that guarantees people always have the housing they need, when they need it. In other words, if homelessness is a housing problem, wringing efficiencies out of the current emergency shelter system alone won't solve it. Jurisdictions must also ensure that people remain housed in the first place—and if a household does find itself seeking shelter, jurisdictions must ensure ample housing exists on the other side of the crisis response.

From the systems perspective, the availability of affordable housing plays a determinative role in both inflow to homelessness and outflow from homelessness. But housing policy prescriptions for each of these transitions vary substantially: Preventing people from losing their housing in the first place is a vastly different exercise than ensuring safe and healthy movement through crisis-response programs and the securing of new affordable housing as quickly as possible. And each is essential. If we consider the homelessness system to encompass three stages—inflow, in which precipitating events like job loss interact with structural factors like housing affordability; response, in which people interact with programs like coordinated entry services and emergency shelters; and outflow, in which they (ideally) return to permanent, affordable housing—it's clear each stage warrants its own unique set of investments. Critically, investing in the response stage without ensuring adequate capacity for outflow begets a situation in which jurisdictions merely warehouse people in a shelter system indefinitely. No investment in shelters is sufficiently large to end homelessness without affordable housing on the other side.

We address these three stages more deeply in turn.

Stage One—Inflow

By definition, the first stage in this system involves the loss of permanent housing. This loss can be immediate—in the case of an eviction with no subsequent options—or it can be a long, drawn-out process in which a household moves from apartment to couch to car, until they have exhausted all of their housing options. Either way, these events signify *entry* into the homelessness system. From a process standpoint, mitigating the flow into homelessness is essential: People remain housed, and people currently unhoused are more likely to be able to access housing programs.

It's at the inflow stage that many large structural challenges—poverty, lack of affordable housing, racism and other forms of discrimination, inadequate health care, and inequities in education and employment—most readily make themselves known. These factors converge to make some households more vulnerable to housing loss than others. With an eye toward helping mitigate this convergence, we highlight two important areas of focus. First, researchers have highlighted the important role that income supplements play in preventing a spell of homelessness. Such supplements may come in the form of permanent housing subsidies, temporary payments, diversion dollars (“flex funds”), or more fundamental changes, like an expansion of the Earned Income Tax Credit program, which provides cash payments to low-income households via the income tax system.²³ Such cash buffers help households who would otherwise lose their housing as a result of a one-time crisis or emergency. The expansion of housing voucher programs to cover all eligible households in the country would also meaningfully expand the purchasing power of millions of people with low incomes. Extensive research has documented the success that vouchers have had in preventing

and ending homelessness.²⁴ Second, especially in cities with expensive and scarce housing, housing-supply investments targeting households with the lowest incomes—0 to 30 percent of AMI—are paramount. Expensive, tight housing markets provide very little margin for households at risk: One negative episode or a spell of bad luck can quickly turn into housing loss.

Efforts to expand the supply of housing require deep investment from federal, state, and local governments. Broadly speaking, these investments could include direct support for development or acquisition, but they could also come in the form of a more robust Low-Income Housing Tax Credit program—the primary tool currently used to fund the development of affordable housing—as well as housing trust funds, land banks, and shared equity homeownership models. In all cases, the goal here ought to be creating a stock of de-commodified housing and land that resides outside the private market. Note that de-commodified housing doesn't necessarily connote *public* housing (though it may). Non-profit ownership, too, implies an understanding of housing that is divorced from a profit motive. There are also important initiatives focused on the preservation of affordable housing; for example, the King County Housing Authority has purchased over seven thousand housing units since 1991 in an effort to preserve affordability in perpetuity.²⁵ Such action doesn't increase the overall supply of housing, but it does increase the stock of housing that isn't subject to market forces and pricing. Furthermore, without more multifamily zoning and the density that comes with it, growing cities will have no place to house new residents—which will further displace low-income households and place additional pressure on already expensive housing. The necessary zoning reforms probably imply limiting the degree of single-family zoning in a given city. In addition, local governments can work to ensure that

the regulatory hoops that developers must jump through are limited such that basic protections exist, but that housing can still be permitted and constructed in a timely fashion. Finally, the public and private sector alike must pay greater attention to alternative forms of housing (including single-room occupancies) and new construction technologies. As discussed previously, the construction industry is one of the few that has shown little to no efficiency gains over the last half-century.

In the short run, prevention programs are essential to limiting inflow. From a policy-design perspective, prevention is hard, because there's often no way of knowing what would have actually happened to a participating household if a given prevention program hadn't existed in the first place. This natural absence of a real comparison group—a counterfactual—makes program evaluation difficult; and consequently, prevention programs have been plagued over the years by accusations of inefficiency. And there's some truth to these claims. Of the population at risk of homelessness at any given point in time, only a few households actually lose their housing—again, consider the size of the U.S. population below the poverty line versus that experiencing homelessness—and targeting those select households may be next to impossible. However, emerging (but perhaps unsurprising) evidence suggests certain prevention programs like some forms of emergency cash assistance, housing subsidies, and other services do ultimately limit the incidence of homelessness.²⁶ These programs should be supported and scaled.

Stage Two—Crisis Response

When most people think about “the homelessness system,” they are likely thinking about stage two in our model. Coordinated

entry facilities, emergency shelters, day shelters for the unsheltered homeless, Safe Havens, transitional housing, rapid rehousing, and permanent supportive housing programs form the response system's constituent pieces. Most public investment in homelessness as a distinct spending priority concerns this stage. Broadly speaking, we can think about this system as serving two overarching goals: (a) providing basic needs and keeping people safe during a crisis, and (b) helping people to move beyond the crisis. Mats on the floor in a congregate emergency shelter may provide some basic needs for residents, but on their own, they may fail to materially move people toward permanent housing.

Other elements of the system attempt to move people out of it. And this is where the analysis gets more difficult. Because of the temporary nature of some of these programs (notably transitional housing and rapid rehousing), some program participants may return to the homelessness response system when housing opportunities or subsidies end.²⁷ The effectiveness of these programs is also likely to vary by region: Unsurprisingly, a time-limited rental subsidy on the private market is more likely to be effective in more accommodating markets. Permanent supportive housing, on the other hand, is, by definition, permanent—but it is also more expensive. The cost implies a tradeoff: Jurisdictions can serve fewer people successfully. And this is where financial constraints and the limited stock of housing units for use by permanent supportive housing programs limit its potential. Further complicating homeless-housing decisions is the fact that not everyone needs something like permanent supportive housing. In fact, most people who experience homelessness don't—other supports and assistance are sufficient.

These portfolio decisions are important, but a broader challenge for communities is the decision of whether to allocate

resources to the crisis-response system—stage two—at all or to invest in upstream prevention efforts and the affordable housing needed for people to end their homelessness. By and large, CoCs have focused intently on the efficiency of their crisis responses. These efforts have sought to ensure that households receive the services most appropriate for their needs and circumstances—and that enough services exist in the first place. And while these operational changes can precipitate real improvements, there is a limit to their reach. In the case of many regions with high rates of homelessness, the tremendous inflow into the crisis-response system has overwhelmed many of the benefits that might have been realized from the operational efficiencies gained. Trying to optimize a shelter system during periods of great inflow is like repairing a smoke alarm in a house that's on fire. As someone we spoke to on this topic stated, "We can't efficiency our way out of this."

A tangible example of this phenomenon comes by way of the Family Homelessness Initiative funded by the Bill and Melinda Gates Foundation.²⁸ Over the last twelve years, the foundation has invested tens of millions of dollars to improve the crisis response system for families in the Puget Sound region. The initiative has focused on three core principles: prevention and diversion (short-term assistance, landlord mediation, and other emergency supports), coordinated entry (a single point of contact for families as they seek support from the homelessness response system), and rapid rehousing (placing families in permanent housing as soon as possible). Findings of the program have demonstrated favorable results for the families and the system that serves them.²⁹ At the same time, the level of family homelessness in the region has continued to rise. This fact highlights that the benefits of well-funded and carefully

implemented programs targeting the crisis response system can be overwhelmed by robust inflow into the system.

It can also be overwhelmed by a lack of outflow. Setting aside debates about the relative efficacy of transitional housing, rapid rehousing, and permanent supportive housing, program success is predicated on the existence of a unit someone can move into or retain. Without enough units—regardless of ownership and operation—none of these programs can provide sufficient pathways out of the response system. It’s like plugging a bathtub while the water is still running: The water will rise. Limited opportunities to *exit* the shelter system—or leave the streets—turn the response system into a warehouse for people experiencing homelessness. Rather than serving as a soft, temporary landing for people who lose their housing, the system becomes a more permanent reality. We need an exit.

Stage Three—Outflow

Outflow, as introduced above, is essential to a properly functioning system. In addition to representing housing solutions for people experiencing homelessness, exits from the response stage also free up capacity and resources for others entering that stage. Certainly, all the efforts outlined in the first stage—those that provide income support and increase the stock of affordable housing—would help facilitate outflow. But here, we also draw attention to the unique stock of permanent housing specifically designated for people who have previously experienced homelessness (especially chronic homelessness; and including permanent supportive housing). Unlike temporary rental supports, transitional housing, and rapid re-housing, permanent supportive housing isn’t time-limited, and it often includes further

services and supports for residents who need them. Therefore, we view this intervention as a critical element of our third stage—not just as another feature of the crisis response system.

Over the past few years, the communities in our sample have greatly increased the stock of permanent housing units in their portfolio: a welcome development. Given the cost-effectiveness arguments offered earlier in this chapter, we encourage the continued funding and construction of permanent supportive housing units. Some people leaving the crisis-response system may reside in permanent supportive housing for a decade or more before leaving for housing in the private market (either subsidized or unsubsidized); others may live in permanent supportive housing for the rest of their lives. Fixed incomes or disabilities might preclude some people from attaining private-market housing. When we cease to view housing as a commodity and instead as an essential component of human life and dignity, a diversity of housing solutions makes more sense.

Despite the welcome increase of permanent units, the supply of this form of housing remains drastically limited, and this scarcity serves as a critical bottleneck with knock-on effects for the overall system. Without more permanent supportive housing units to serve the population of (often chronically homeless) people who need them, many CoCs—bound by requirements to prioritize housing for those with the greatest medical need and barriers to housing—ultimately opt to refer potential permanent supportive housing occupants to time-limited housing programs (like rapid rehousing) with fewer supportive services. When renters can't retain their rapid rehousing leases at the end of a subsidy period, they may fall back into homelessness. Meanwhile, rental subsidies have been exhausted, and people who might have been able to hold on to those leases are instead on

a waiting list, sleeping in shelters. In this manner, lack of sufficient permanent supportive housing can frustrate the efforts of a crisis-response system that may have otherwise worked for more people.

By definition, permanent supportive housing is designed to help people with service needs. But there are other people experiencing homelessness—without such needs—for whom a long-term subsidy, like a voucher, would provide access to much-needed housing. Providing permanent supportive housing units to people without the relevant service needs implies a mismatch. Communities need a portfolio of housing options (from short-term subsidies to long-term subsidies *and* permanent supportive housing) to ensure people can find the right housing—efficiently and effectively. In other words, with respect to housing supply, communities require not only a sufficient number of permanent supportive housing units, but also private units that households can access via rental subsidies. Housing must reflect the diversity of shelter and service needs of the people living in it.

Local responses to homelessness during the COVID-19 pandemic offer a reason for optimism in the fight against homelessness. As described earlier, many jurisdictions leased hotel and motel rooms for people experiencing homelessness in order to provide safety and to limit virus outbreaks in congregate settings such as emergency shelters. Given the success of many of these programs, local governments around the country have taken steps to acquire hotels and motels in order to create additional permanent or temporary housing options for households that need them. Large-scale purchases of these buildings have the potential to meaningfully increase the stock of affordable units in a community. The depressed prices for hotel properties

during the COVID-19 pandemic presented a unique opportunity for jurisdictions to increase housing capacity at lower prices than would be typical: a meaningful silver lining of the otherwise tragic pandemic.

The three interrelated elements presented above—shifting public perceptions of homelessness, committing far greater resources to meet the scale of the problem, and broadening our understanding and management of what constitutes the homelessness system—suggest bold, paradigmatic shifts in the manner in which the country addresses homelessness. But such personal and public investments are possible. A recent example shows us as much: The case of the U.S. response to veteran homelessness offers a template for how the three constituent elements of this vision can come together to form a sustainable housing response. Since 2009, homelessness among former members of the U.S. armed services has fallen by nearly 50 percent—and this rapid decline is no accident.³⁰ Political will, funding, and effective use of the broader homelessness response system has dramatically reduced the population of veterans without housing.

Why did we do it? And what, exactly, did we do? Given the poor treatment of veterans who returned from the Vietnam War a generation ago, great political concern arose to prevent repeating the same mistakes for those who served in the wars in Iraq and Afghanistan. But theories of the policymaking process itself also help explain the substantial federal commitment to ending homelessness among veterans. Policy scholars Helen Ingram and Anne Schneider developed the concept of social construction of target populations as a way to understand why certain populations receive benefits and support throughout the policymaking process while others do not.³¹ The researchers argue that one

can predict how a given subpopulation will benefit from policy-making based on two variables: their power and their social construction. Plotting these two variables against one another creates a matrix of four categories: Advantaged (high power and positive social construction), Contenders (high power and negative social construction), Dependents (low power and positive social construction), and Deviants (low power and negative social construction). Small-business owners and first responders might be examples of Advantaged populations; oil-company executives are Contenders; Dependents include widows and orphans; and Deviants would include drug dealers and other criminals.

The matrix helps us understand the difference between homeless veterans and homeless civilians (and the political will that follows in the response to each). Veterans experiencing homelessness have a favorable social construction. As former soldiers, they occupy the Advantaged category. As veterans who have lost their housing, they occupy the Dependent category: worthy beneficiaries of support. Yet without this view into someone's past—without psychological or social assumptions of whether someone *ever* occupied the Advantaged category—the default political (and policymaking) assumption of civilian homelessness is the Deviant category. Given a negative social construction and no power, civilians experiencing homelessness receive far less de facto attention and support throughout the policymaking process. We see evidence of this dynamic in public opinion research on homelessness. Jack Tsai and colleagues conducted a national online survey and found that the general public was more supportive of homelessness funding for the veteran population than for nonveteran adults who experience homelessness.³²

But the social construction of veterans only explains part of the story. There was also a lot of money. A white paper from the Department of Veterans Affairs states, “Ending Veteran Homelessness has been a priority of this Administration and VA that has resulted in an unprecedented commitment of resources, planning and commitment directed toward this goal. This initiative was announced in 2009 and incorporates six core elements: outreach and education, treatment, enhancing income/employment/benefits, community partnerships, prevention, and providing housing and supportive services. Over \$2.6 billion has been committed to this initiative to date [2009–2014], resulting in substantial increases in the housing stock available to support homeless Veterans.”³³

Ultimately, policymakers, agency staff, and nonprofits knitted together a broad system of housing support to deliver effective programs and resources to those who needed it. The system constituted far more than shelter: A combination of rapid rehousing, housing vouchers, and permanent supportive housing services—along with a fleet of other ancillary efforts to ensure people were housed outside the crisis response—were carefully integrated to ensure program success.³⁴ A new, growing focus on communities attaining “functional zero” veteran homelessness, in which regions must prove the number of veterans experiencing homelessness each month is smaller than its average monthly housing rate, ensures such communities apply a systems lens to policymaking: Inflow has to be smaller than outflow, so you’ve got to focus on both upstream and downstream interventions. Some cities have achieved this functional zero measure for both veteran homelessness and chronic homelessness, and emerging evidence has illustrated that upstream interventions (like diversion and engagement with other systems)

can ensure that homelessness can indeed be prevented before it manifests in full.³⁵

Access to housing—independent of one's ability to pay—is the bedrock of these policy successes. From the veterans example, we know that investments in housing, rental subsidies, and systems thinking can substantially reduce the population of people experiencing homelessness. The question is whether we will extend the same focus, attention, and resources to the rest of the population without stable housing. At the time of this writing, the answer to that question remains unclear. Despite extensive research highlighting the drivers of the U.S. homelessness crisis, perceptions of the issue still break along partisan, perceptual, and anecdotal lines. Which makes sense. This is a book about cities, but homelessness is about people. And for all the reasons described above, it's easy to fall back on narratives about people, especially the narratives that stir emotion.

But these narratives aren't enough; they don't get at the roots. In naming homelessness as a structural problem, with its roots in affordable housing, we hope to provide concerned readers with direction. Our attempt here has been to think through the substantial variation in rates of homelessness observed throughout the country, inviting the question of why homelessness is so prevalent in some cities, but not others. *This* question should give us pause, not least because it suggests intent. People design cities and structure markets. They can also choose to change them.